

May 28, 2026 12:09 AM GMT

Global Sugar | Latin America

Brazil Sugar: Strong Season Start. Supply Surge Pressures Prices Amid Ethanol Shift

Stronger, earlier-than-expected start to the 26/27 harvest, with supply well above cons—crushing 75%YY YTD and sugar prod +55%YY—despite the shift to ethanol. This pressures prices near term but speeds rebalancing into 2H, especially with policy support and weather risks (El Niño) tightening supply.

Key Takeaways

- Supply came in earlier and larger, the harvest started at record pace. Cane crushing +75% YY YTD; Ethanol production +72% YY YTD; Sugar +55% YY.
- Output is running ~30–50% above consensus in the opening months of the harvest. More mills operating and at a faster pace and probably also more cane as well.
- Mills are choosing ethanol. Ethanol 62% of production mix, on better prices. Sugar mix fell to 38% (-7pp), even as absolute volumes rose.
- Strong ethanol output is pushing producer prices down, improving pump-level competitiveness & support demand. Policy to accelerate clean-up by lifting blend to 32%
- April data suggest Brazil sugar +1–2Mt vs our 40Mt, but El Niño risks (above-average rains) could constrain milling days and ATR later in the harvest.

MS view: Supply is front-loaded and stronger than expected, keeping prices under pressure in the near term. Ethanol-driven strategies are rational, as it is trading at a premium to sugar but should keep prices depressed temporarily. Policy (blend increase to 32% from 30%) is the release valve expected for June-26 that could absorb about 800-900mn liters yearly, while gasoline subsidies remain the main constraint. With ethanol prices for producers already discounting the downside, we see better risk-reward into the last part of the harvest from July-August onward - past harvest peak.

Investment implications: S&E players like SMT03 (OW) and ADECO (EW) are a cycle-over-earnings story: near-term results will weaken on inventory build and unhedged exposure, but with prices below cost and the curve steepening, we see compelling upside as the cycle turns. Risk-reward is further enhanced by the rising likelihood of a strong El Niño — historically a trigger for supply disruptions in Asia and higher sugar prices — while a strong start to the Brazilian harvest may delay, but hopefully not derail, the recovery.

Strong Season Start. Brazil Sugar cane harvest started in April according to

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LATAM AGRIBUSINESS

Latin America

Industry View

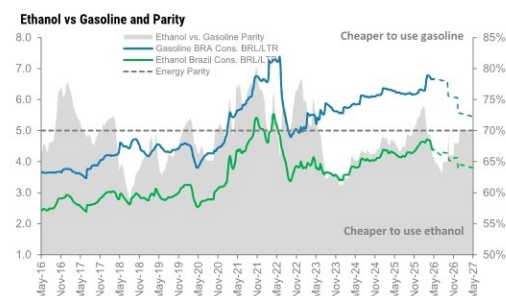
In-Line

Exhibit 8 : Sugar Price (US/lb): We expect sugar prices to increase to \$17c/lb by 2027/28



Source: Datastream, Morgan Stanley Research.

Exhibit 9 : Ethanol vs Gasoline and Parity: Ethanol is cheap vs gasoline and will attract consumers demand



Source: Datastream, Morgan Stanley Research.

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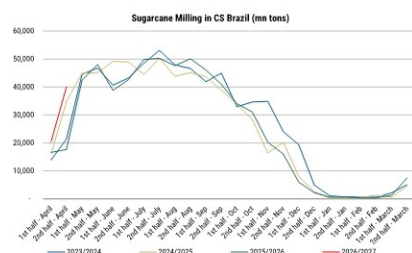
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UNICA's data. The first month of the season came in materially above our expectations, confirming a much faster start to the 2026/27 CS crop.

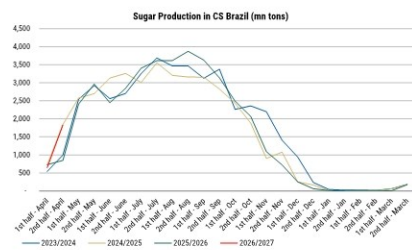
- **Cane crushing went up +74.58% YoY to 60.46Mt**, +48.9% vs. MSe of 40.61Mt, with average TRS rising to 112.58kg/ton, +5.40% higher YoY. Accumulated ATR rose +84.0% YoY to 6.81Mt.
- **Sugar production increased +55.24% YoY to 2.48Mt**, +32.4% vs MSe, with sugar mix of 38.16%, down from 45.23% last year.
- **Ethanol production increased +71.84% YoY to 3.29bn liters**, +48.7% vs MSe, driven by corn ethanol production of 0.80bn liters (+12.2% YoY; -4.1% vs MSe) and sugar cane ethanol production of 2.48bn liters (+109.7% YoY; +80.9% vs MSe).

Exhibit 1: Cane crushing went up +123.12% YoY to 40.06Mt



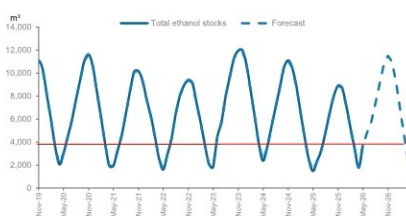
Source: Unica, Morgan Stanley Research.

Exhibit 3: Sugar production increased +109.48% YoY to 1.8Mt, with sugar mix of 40.34% down from 45.69% last year and 32.93% in previous report



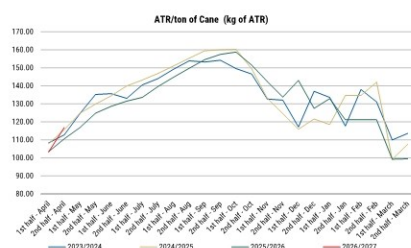
Source: Unica, Morgan Stanley Research.

Exhibit 5: Total Center South Ethanol Stocks went up +150% YoY



Source: ANP, MAPA, Morgan Stanley Research.

Exhibit 2: ATR/ton of cane improved to 116.89kg/t in 2H April, up +6.34% YoY from 109.92kg/t



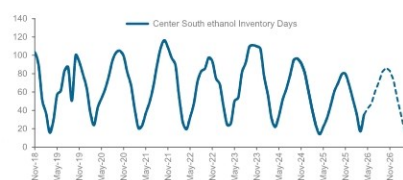
Source: Unica, Morgan Stanley Research.

Exhibit 4: Ethanol production increased +105.85% YoY to 2.04bn liters, driven by corn ethanol production of 0.39 liters (+9.4% YoY) and sugar cane ethanol production of 1.65bn liters (+164.0% YoY)



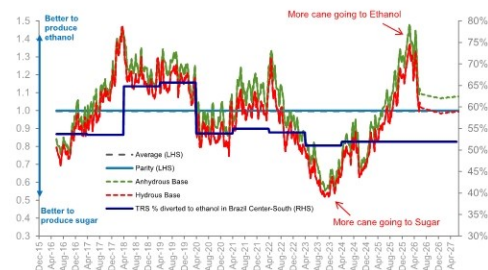
Source: Unica, Morgan Stanley Research.

Exhibit 6: And Inventory days went to 35 vs 14 same time last year



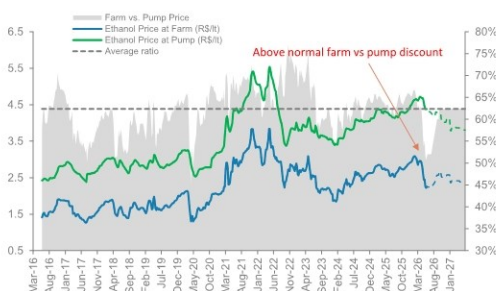
Source: ANP, MAPA, Morgan Stanley Research.

Exhibit 10: S&E Price Parity (Ethanol vs Sugar NY#11): Ethanol parity to sugar converges faster than expected, but given working capital and subsidies we think still likely more attractive to sell ethanol than sugar



Source: Datastream, Morgan Stanley Research.

Exhibit 11: Ethanol at the pump vs. farms: Abnormal distributors margins should normalize and support ethanol price recovery towards the 2H



Source: Datastream, Morgan Stanley Research.

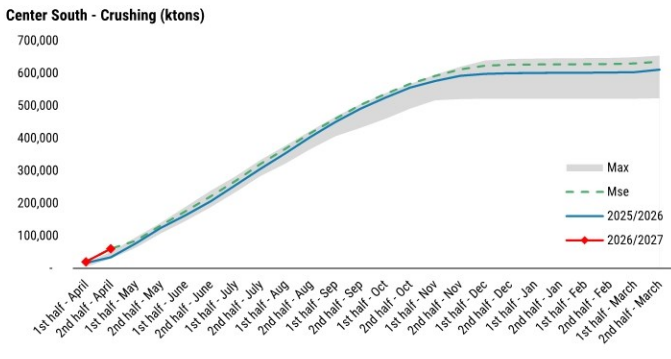
Exhibit 7: From the start of 2026/27 to May 1st, crushing totaled 60.46Mt, up +74.6% YoY and +48.9% vs. MSe (40.61 Mt), with higher TRS at 112.58kg/ton (+5.40% YoY)

2nd half - April					
Accumulated	26/27	26/27 MSe	25/26	VS MSe	YoY
Milling (Mt)	60.46	40.61	34.63	48.9%	74.6%
ATR (Mt)	6.81		3.70		84.0%
ATR /ton of Cane	112.6		106.8		5.4%
Sugar (Mt)	2.48	1.87	1.59	32.4%	55.3%
Ethanol (bn l)	3.29	2.21	1.91	48.7%	71.9%
Sugar Mix	38.2%		45.2%		
Corn Ethanol (bn l)	0.80	0.84	0.72	(4.1%)	12.2%
% Ethanol	24.5%	37.9%	37.5%	(35.5%)	
Cane Ethanol (bn l)	2.48	1.37	1.20	80.9%	107.6%
% Ethanol	75.5%	62.1%	62.5%	21.7%	

Source: Unica, Morgan Stanley Research.

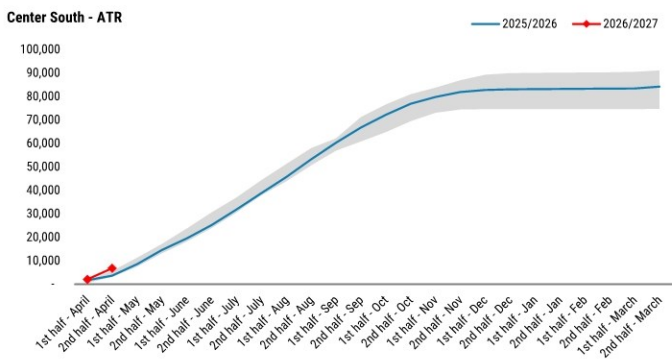
Crop progress

Exhibit 12: Center South - Crushing (ktons)



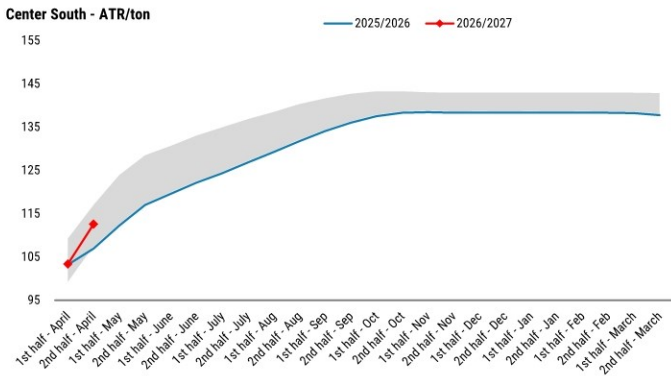
Source: Unica, Morgan Stanley Research.

Exhibit 13: Center South - ATR



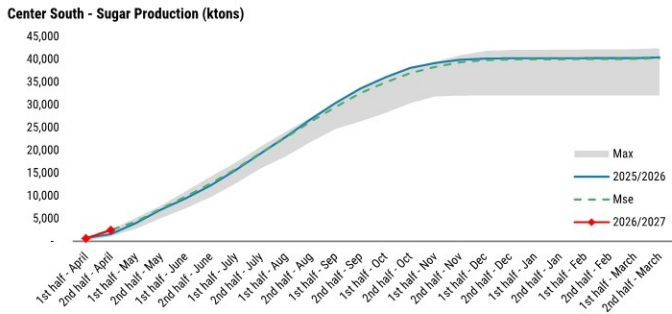
Source: Unica, Morgan Stanley Research.

Exhibit 14: Center South - ATR/ton



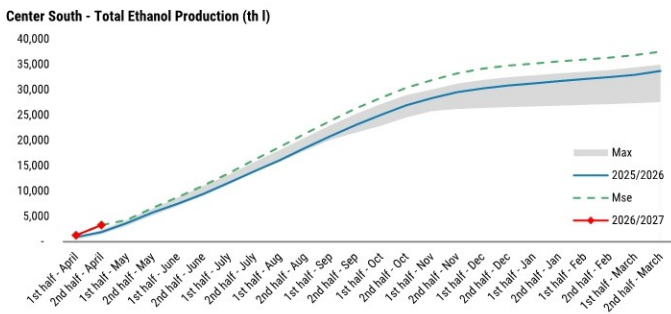
Source: Unica, Morgan Stanley Research.

Exhibit 15: Center South - Sugar Production (ktons)



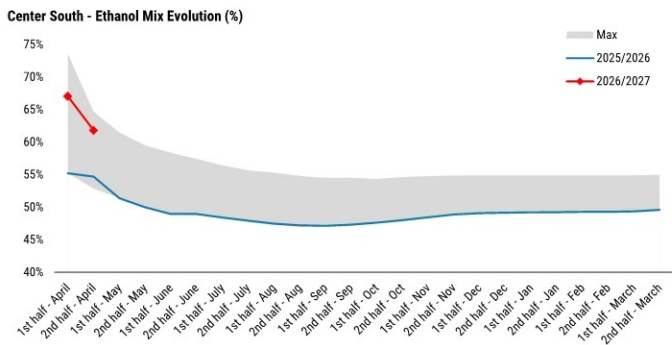
Source: Unica, Morgan Stanley Research.

Exhibit 16: Center South - Total Ethanol Production (th l)



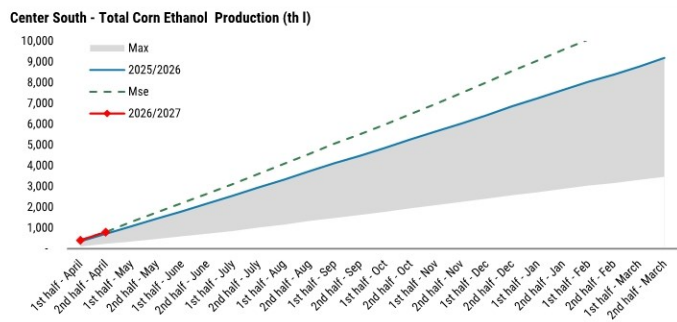
Source: Unica, Morgan Stanley Research.

Exhibit 17: Center South - Ethanol Mix Evolution (%)



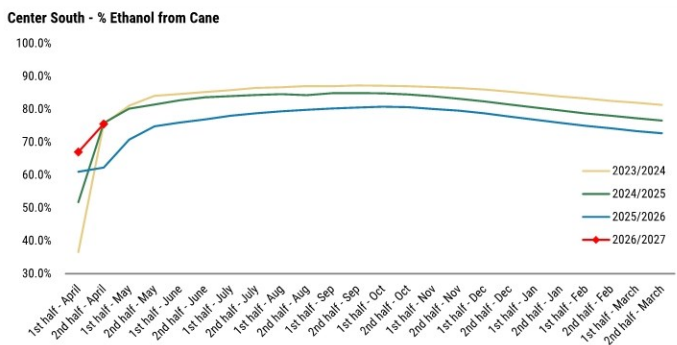
Source: Unica, Morgan Stanley Research.

Exhibit 18: Center South - Total Corn Ethanol Production (th l)



Source: Unica, Morgan Stanley Research.

Exhibit 19: Center South - % Ethanol from Cane



Source: Unica, Morgan Stanley Research.

Valuation Methodology and Risks

ADECOAGRO S.A. (AGRO.N)

In our bull case, we assume Profertil generates US\$335 million in EBITDA, supported by a urea price of US\$490/ton and gas costs of US\$4.33/mmbtu. For the Sugar & Ethanol (S&E) segment, we assume sugar at 22¢/lb and value the business at US\$70 EV/ton. These upside assumptions imply valuation multiples of 4.3x EV/EBITDA and 8.5x P/E in 2026

Risks to Upside

- Lower Gas prices in Argentina
- **Higher Ammonia Prices**
- **Weather disruptions in India** can maintain sugar prices high.
- **Higher Oil prices can increase ethanol price.**

Risks to Downside

- Fuel policies in Brazil: lower ethanol prices
- **Further macro deterioration** in Argentina.
- **Higher production costs** for sugar in Brazil.
- **Weather** impact on yields.
- **Lower Brent** for longer.
- **FX**
- **Higher Gas prices** in Argentina

Sao Martinho SA (SMT03.SA)

Derived from our sum-of-the-parts valuation using US\$60/ton for the S/E business with sugar prices at \$17c/lb and Corn Ethanol Operations at 6x EBITDA of R\$360

Risks to Upside

- Stronger results, if ethanol prices becomes more attractive than Sugar. Higher Oil prices, weaker FX
- **Corn ethanol plant** could affect shares if results (margins) exceed expectations
- **Global Supply Disruptions:** India below expected

Risks to Downside

- Fuel policies in Brazil: changes could keep ethanol prices low
- **Sugar prices:** lower oil prices, Weather events may affect yield
- **Stronger BRL** reducing export revenues

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(as of April 30, 2026)

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Coverage Universe			Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
Stock Rating Category	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
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Equal-weight/Hold	1568	43%	358	39%	23%	715	44%
Not-Rated/Hold	4	0%	0	0%	0%	1	0%
Underweight/Sell	555	15%	84	9%	15%	202	12%
Total	3,673		909			1627	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

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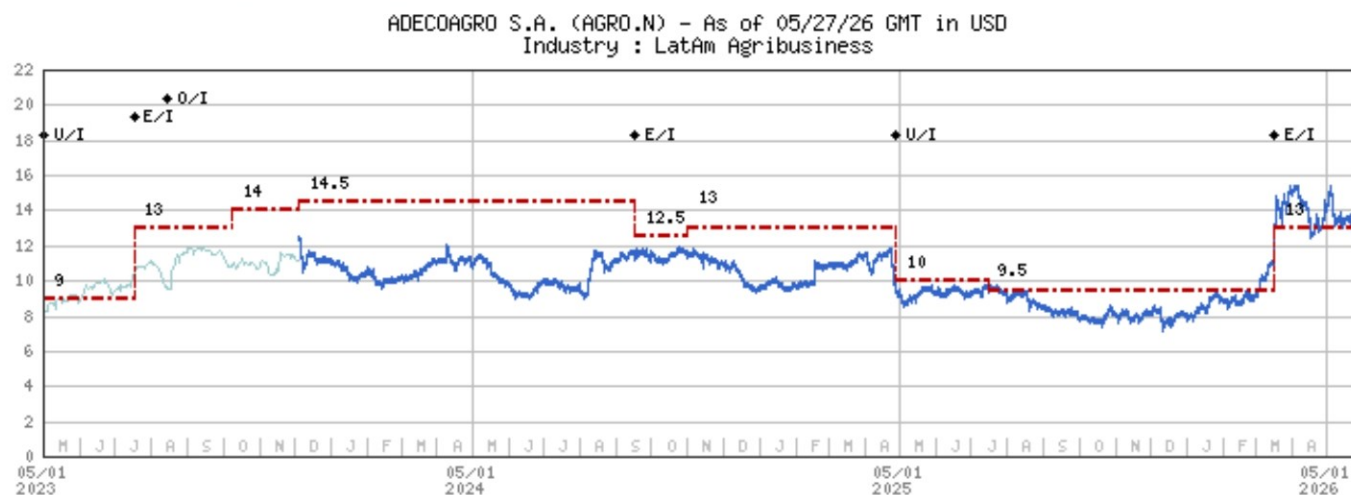
Attractive (A): The analyst expects the performance of his or her industry coverage universe over the next 12-18 months to be attractive vs. the relevant broad market benchmark, as indicated below.

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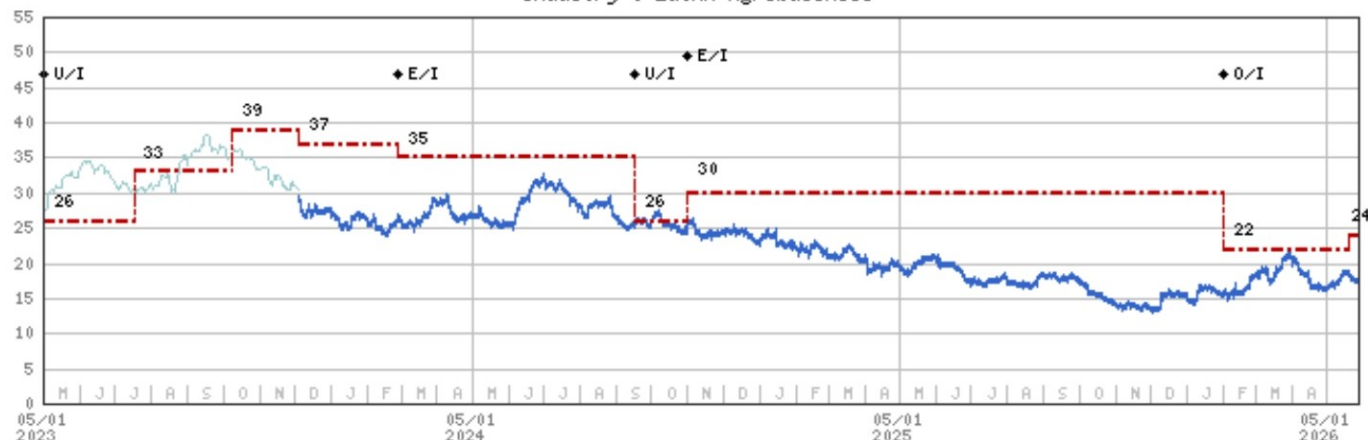
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Sao Martinho SA (SMT03.SA) - As of 05/27/26 GMT in BRL
Industry : LatAm Agribusiness



Stock Rating History: 5/1/21 : E/I; 12/14/22 : U/I; 2/27/24 : E/I; 9/17/24 : U/I; 10/31/24 : E/I; 2/2/26 : O/I

Price Target History: 3/28/21 : 31; 10/18/21 : 42; 5/27/22 : 48; 8/3/22 : 42; 12/14/22 : 26; 7/17/23 : 33; 10/9/23 : 39; 12/5/23 : 37; 2/27/24 : 35; 9/17/24 : 26; 10/31/24 : 30; 2/2/26 : 22; 5/19/26 : 24

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target -- No Price Target Assigned (NA)

Stock Price (Not Covered by Current Analyst) — Stock Price (Covered by Current Analyst) —

Stock and Industry Ratings (abbreviations below) appear as ♦ Stock Rating/Industry View

Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)

Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

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INDUSTRY COVERAGE: LatAm Agribusiness

COMPANY (TICKER)	RATING (AS OF)	PRICE* (05/27/2026)
Javier Martinez de Olcoz Cerdan		
Sociedad Quimica y Minera de Chile S.A. (SQM.N)		US\$83.94
Julia Rizzo		
ADECOAGRO S.A. (AGRO.N)	E (03/16/2026)	US\$12.58
Rumo SA (RAIL3.SA)	E (03/30/2025)	R\$14.05
Sao Martinho SA (SMT03.SA)	O (02/02/2026)	R\$17.14
SLC Agricola S.A. (SLCE3.SA)	E (09/17/2025)	R\$15.89

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* Historical prices are not split adjusted.